EQUITY RESEARCH REPORT

Coca-Cola in India

Coca-Cola India Pvt. Ltd. (concentrate/marketing arm) & Hindustan Coca-Cola Beverages Pvt. Ltd. (bottling arm)

Sector: FMCG — Beverages (Carbonated Soft Drinks & Non-Alcoholic Beverages)

Private, unlisted entities — no public market price. Analysis based on RoC / MCA filings (via Tofler) and financial press.

EBITDA & Competitive Positioning Brief | September 2026 Independent academic financial analysis — not investment advice

1. Corporate Structure — Why There Are Two Entities

Unlike Reliance or UltraTech, Coca-Cola in India is not a single listed company and has no CMP, market capitalisation, or public share price. The Coca-Cola Company (Atlanta) operates in India through two separate, privately-held entities, both of which file annual financials with India's Registrar of Companies (RoC):

- Coca-Cola India Pvt. Ltd. — the concentrate, marketing, and brand-management arm, 100% owned by parent Coca-Cola South Asia (India) Holdings Ltd (Hong Kong). It owns the IP for Coca-Cola, Thums Up, Limca, Sprite, Maaza, and Minute Maid, and licenses these to bottlers in exchange for royalty payments.
- Hindustan Coca-Cola Beverages Pvt. Ltd. (HCCB) — the manufacturing and bottling arm, operating factories across India and distributing finished products to the market. HCCB pays Coca-Cola India Pvt. Ltd. for concentrate and brand rights, which is why the two entities' financials move somewhat independently.

Because both entities are unlisted, this brief uses financial data drawn from company filings with the Registrar of Companies, as reported by business intelligence platform Tofler and corroborated by financial press coverage (Business Standard, Outlook Business). No CMP-based valuation is presented, consistent with these being private subsidiaries rather than publicly traded stocks.

2. Financial Performance — Coca-Cola India Pvt. Ltd. (Concentrate/Marketing Arm)

All figures in ₹ Crore. Source: RoC filings via Tofler, reported by Business Standard / Outlook Business.

Metric	FY22	FY23	FY24	FY25
Revenue from Operations	3,121	4,521	4,713	5,043
YoY Growth	36%	45%	4%	7%
Total Expenses	2,548	3,621	~4,293*	4,328
Net Profit (PAT)	460	722	420	615
Net Margin	14.7%	16.0%	8.9%	12.2%
A&P (Ad & Sales Promotion) Spend	738	1,122	1,520	1,311
Royalty Paid to Parent (TCCC)	n/a	n/a	~508*	557

**FY24 total expenses and royalty are estimated from reported YoY change figures where the absolute FY24 figure was not separately disclosed in press coverage.*

Key Observations

- Revenue grew explosively in FY23 (+45%) on strong post-pandemic recovery in out-of-home consumption, before decelerating sharply to single-digit growth in FY24–FY25 — a pattern consistent with the category normalising after a low base.
- Net margin swung significantly — from 16.0% in FY23 down to 8.9% in FY24 (on a near-52% jump in A&P spend to defend market share) before recovering to 12.2% in FY25 as A&P spend was pulled back 14% even as revenue kept growing.
- The FY25 result — 7% revenue growth alongside 46% profit growth — reflects a deliberate shift toward marketing efficiency: A&P intensity fell from 32% of revenue in FY24 to 26% in FY25, directly driving the margin recovery.

3. Financial Performance — Hindustan Coca-Cola Beverages (Bottling Arm)

All figures in ₹ Crore. Source: RoC filings via Tofler, reported by Business Standard.

Metric	FY22	FY23	FY24	FY25
Revenue from Operations	8,999	12,735	14,022	12,751
YoY Growth	—	42%	10%	(9%)
EBITDA	n/a	n/a	~1,778*	1,641
EBITDA Margin	n/a	n/a	~12.7%*	12.9%
Net Profit (PAT)	377	809	2,808	757
Net Margin	4.2%	6.4%	20.0%	5.9%
Net Worth	n/a	n/a	~8,754*	9,505
Total Borrowings	n/a	n/a	n/a	595

**FY24 EBITDA and net worth are estimated by reversing the FY25 reported YoY change (EBITDA −7.73%, net worth +8.56%).*

Key Observations

- HCCB's FY24 net profit of ₹2,808 Cr (20% net margin) is misleading in isolation — it includes a one-off ₹2,527 Cr exceptional gain from divesting bottling operations in Rajasthan, Bihar, the North-East, and parts of West Bengal to independent bottlers (Kandhari Global Beverages, SLMG Beverages, Moon Beverages) as part of Coca-Cola's global re-franchising strategy.
- Stripping out that one-off gain, HCCB's underlying FY24 profit was closer to ₹281 Cr — making the FY25 result of ₹757 Cr (which includes a much smaller ₹120 Cr exceptional item) a more accurate like-for-like improvement in the core bottling business, not the 73% decline the headline number suggests.
- FY25 revenue fell 9% largely due to the loss of revenue from the divested territories rather than organic volume decline — the divestments mean HCCB now operates a smaller, more concentrated geographic footprint.
- At 12.9% EBITDA margin and just ₹595 Cr of borrowings against a ₹9,505 Cr net worth (Debt/Equity of ~0.1x), HCCB is a very conservatively financed operation with a genuinely strong balance sheet, even after its recent portfolio restructuring.

4. Competitive Positioning — Benchmarking Against Varun Beverages (PepsiCo's Bottler)

Varun Beverages Ltd (VBL), PepsiCo's largest franchise bottler globally and a listed company, offers the closest publicly available benchmark for HCCB, despite VBL's larger scale and multi-country footprint (India, South Africa, and other international markets).

Metric	HCCB (FY25)	Varun Beverages (FY25/CY24)
Revenue	₹12,751 Cr	₹24,126 Cr (TTM)
EBITDA Margin	~12.9%	~14.8–15.7%
Net Profit	₹757 Cr	₹3,409 Cr (TTM)
Net Margin	~5.9%	~14.1%
Listed / Unlisted	Unlisted (private)	Listed (Mkt Cap ₹1,40,880 Cr)

Reading the Comparison

- Varun Beverages runs meaningfully higher EBITDA and net margins than HCCB, reflecting its multi-country diversification (which spreads fixed costs across a larger volume base), broader product portfolio beyond core CSDs, and the operating leverage benefits of continuous, aggressive geographic expansion over the past five years.
- HCCB's recent territory divestments to independent bottlers is the same strategic playbook PepsiCo/Varun Beverages has historically pursued in reverse — consolidating rather than divesting territories — suggesting Coca-Cola's India bottling strategy is currently prioritising capital discipline and franchise-model efficiency over directly-owned scale.
- Coca-Cola's brand portfolio (Thums Up, Limca, Maaza) gives it strong category leadership in cola and mango-drink segments specifically, while PepsiCo/Varun's Sting energy drink has been a key margin and growth driver on the other side — the two networks are competing on different strengths within the same overall beverages category.

5. Strategic Positioning Brief — Summary

Strengths

- Iconic, category-leading brand portfolio (Coca-Cola, Thums Up, Sprite, Limca, Maaza) with decades of market presence and consumer trust in India
- HCCB's conservative balance sheet (Debt/Equity ~0.1x) provides significant financial flexibility relative to more leveraged peers
- Demonstrated marketing discipline in FY25 — Coca-Cola India Pvt. Ltd. grew profit 46% while cutting A&P spend 14%, showing pricing power and brand strength rather than dependence on promotional spend

Weaknesses

- HCCB's EBITDA margin (~12.9%) trails the closest listed peer benchmark (Varun Beverages, ~15%), suggesting either less favourable cost structure or lower operating leverage from a smaller, India-only footprint
- Recent territory divestments mean HCCB is shrinking its directly-owned distribution footprint at a time when competitors are expanding theirs

- As an unlisted subsidiary, capital allocation decisions ultimately rest with the US parent (The Coca-Cola Company) rather than being driven by India-specific growth priorities

Opportunities

- India remains a large, under-penetrated per-capita consumption market for packaged beverages relative to global averages, offering a long runway for category growth
- Expansion in non-carbonated and healthier beverage categories (juices, packaged water, low/zero-sugar variants) could improve both growth and margin mix over time

Threats

- Intensifying competition from Varun Beverages/PepsiCo, which has been aggressively investing in both domestic and international expansion
- Regulatory and public-health pressure around sugar content, packaging waste (EPR norms), and potential future taxation on sugar-sweetened beverages
- Weather-dependency of the category — HCCB's own FY26 outlook flagged an early, extended monsoon as a headwind to summer-driven sales volumes

6. Conclusion

Coca-Cola's India operations present a split picture: the concentrate/marketing entity (Coca-Cola India Pvt. Ltd.) is demonstrating improving capital efficiency, growing profit faster than revenue through disciplined A&P spend; the bottling entity (HCCB) is in the middle of a deliberate footprint restructuring that has temporarily depressed reported revenue and obscured underlying profitability trends behind large one-off items. Benchmarked against Varun Beverages, HCCB's core operating margins still trail the sector's most aggressive listed operator, suggesting room for margin improvement as the current restructuring phase completes. As private subsidiaries of a US parent, neither entity is investable directly by public market participants in India — the value of this analysis lies in benchmarking category dynamics and competitive positioning rather than in a buy/sell recommendation.

7. Methodology Notes & Limitations

- Coca-Cola India Pvt. Ltd. and Hindustan Coca-Cola Beverages Pvt. Ltd. are unlisted entities; financial data is sourced from statutory filings with India's Registrar of Companies (RoC/MCA), as compiled by the business intelligence platform Tofler and reported in the financial press (Business Standard, Outlook Business, India Ratings). This data is less standardised and less frequently audited-and-published than listed-company disclosures.
- Some FY24 figures for both entities are estimated by reversing reported YoY percentage changes from FY25 disclosures, as the absolute FY24 figures were not independently located in public reporting; these are marked with an asterisk (*) where used.
- No CMP-based valuation (P/E, DCF, or otherwise) is presented, as both entities are privately held and have no market-quoted share price — consistent with the original scope of this project as an EBITDA and competitive-positioning brief rather than an equity valuation exercise.
- This is an academic project prepared for skill-building and portfolio purposes. It does not constitute investment advice and should not be used as the basis for any investment or business decision.

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